Company Report

China Merchants Securities (HK) Co., Ltd.
Hong Kong Equity Research

Tencent (700 HK)

Lifting AI capex to capture broader opportunities

- **4Q25 results inline: Revenue +13% yoy, non-IFRS NP +17% yoy, driven by margin improvements across all segments**
- **Lifting AI capex investment to capture broader opportunities; Eyes on new model (HY 3.0) and AI product (Weixin Agent) launch**
- **Maintain BUY: Earnings cut on increasing investment, while we remain bullish on unique market position and agentic AI-empowered growth opportunities; TP revised down to HKD700**

4Q25 results inline

Total revenue +13% yoy to RMB194.4bn, in line. Revenue from VAS/Advertising/ FinTech and Business Services (FBS) grew by 14%/17%/8% yoy, respectively. Gaming revenue +21% yoy, beat by 3% driven by strong growth of +32% yoy in international games and solid performance in domestic evergreen titles. Total user time spent on Video Account grew by over 20% yoy. Tencent Cloud achieved an adj. OP of RMB5.0bn (vs. breakeven in 2024). Group GP +19% yoy, with GPM of 55.7%, +3.1 ppts yoy, and VAS/ad/FBS segment GPM expanded by 3.7/2.0/2.7 ppts to 59.5%/59.7%/47.7%. Non-IFRS OP/NP +17% yoy, in line. Net cash was RMB107bn. In 2025, Tencent's total shareholder return was HKD128bn (HKD80bn repurchase plus HKD48bn dividend), implying a c.3% yield.

Continuously increasing AI investment to capture more opportunities

Share price dropped by c.5% post results, which we believe was mainly driven by management's comment on higher AI CAPEX and a potential decrease in share repurchases. Tencent's 4Q25 CAPEX reached RMB19.6bn, up 50% qoq. AI-related costs and expenses amounted to RMB7.0bn/RMB18bn in 4Q25/2025, including spending on talent, data, Hunyuan training inference, and marketing for Yuanbao, but excluding GPU procurement for external use. Management clearly stated that AI-related CAPEX in 2026 will more than double, but the company remains focused on ROI, and these investments could be covered by profit improvements in existing businesses. **Key AI development:** 1) HY 3.0, Tencent's next-gen foundation model, is currently under internal testing and will gradually open to external users starting Apr; 2) Tencent continues to maintain industry-leading multimodal capabilities (3D, text-to-image, World model); 3) the Weixin Agent is expected to be launched soon, leveraging the Mini Program ecosystem; and 4) continued iterations of recently-launched productivity agents like WorkBuddy and Qclaw.

BUY: Upbeat on unique social advantages and potential new product launch

We revised down FY26-27E earnings by 6% on incremental investment in AI (Figure 9), currently forecasting group revenue/adj. NP to grow by +10%/+8% yoy in FY26E. Our TP lowered to HKD700 from HKD766, on earnings cut, implying 21x FY26E P/E (Figure 11). Tencent is currently trading at 16x/14x FY26/27E PE (at historical mean), vs 14x/11x of its China peers and 24x/20x of its US peers. Leveraging its strong social network moat and AI technology, we see potential **earnings/valuation upside** from AI agents (i.e. Weixin Agent), advertising acceleration, new games (e.g. *HOK: World* to be launched in Apr), AI product commercialization, overseas opportunities, and AI-driven margin expansion. **Key risks:** 1) Macro/Consumption; 2) Regulation, 3) Competition, 4) Product pipeline.

Financials

RMB bn	FY24	FY25	FY26E	FY27E	FY28E
Revenue	660	752	828	911	1,002
Growth	8%	14%	10%	10%	10%
Non-IFRS net profit	223	260	281	317	358
Growth	41%	17%	8%	13%	13%
Non-IFRS diluted EPS (HKD)	26.0	30.2	32.9	37.4	42.6
Growth	39%	16%	9%	14%	14%
P/E (x)	19.8	17.0	15.7	13.9	12.3

Note: Closing price as of Mar 17, 2026; Sources: Bloomberg, Company, CMS (HK) estimates

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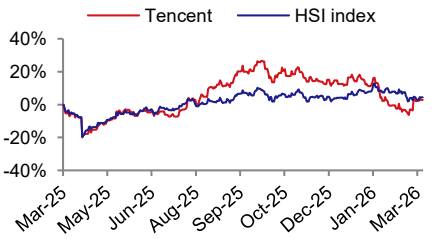
CMS vs Market

We are upbeat on Tencent's increasing investment in AI to capture long-term opportunities across all business lines, leveraging its solid social network moat, with short-term catalysts from ongoing AI model/ product iterations.

BUY

Previous	BUY
Price (Mar 17, 2026)	HKD550
12-month Target Price (Potential up/downside)	HKD700 (+27%)
Previous	HKD766

Price Performance



Source: Bloomberg

%	1m	6m	12m
700 HK	5.0	(13.2)	7.4
HSI	(2.8)	(2.3)	7.0

Sector: Technology, Media & Telecom	
Hang Seng Index (Mar 17, 2026)	25,869
MSCI China (Mar 17, 2026)	81
Key Data	
52-week range (HKD)	419 - 683
Market cap (HKD bn)	5,008.5
Avg. daily volume (mn)	38.24
Shareholding Structure	
Naspers Ltd	23.2%
Ma Hua Teng	7.8%
No. of shares outstanding (mn)	9,508
Free float	69.0%

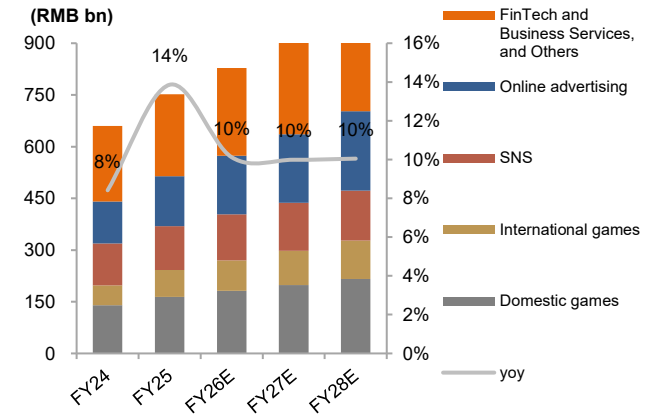
Sources: Bloomberg, CMS (HK) research

Related Research

1. Tencent (700 HK) - OpenClaw poised to provide latecomers with a leapfrog opportunity (BUY) (Mar 10, 2026)
2. Tencent (700 HK) - Continued AI enhancement drives strong momentum (BUY) (Nov 14, 2025)
3. Tencent (700 HK) - AI-driven growth momentum strengthens; TP up to HKD700 (BUY) (Aug 14, 2025)

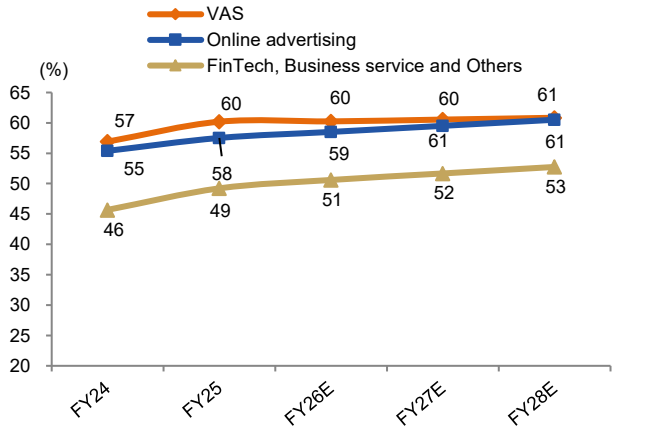
Focus Charts

Figure 1: Revenue by segment forecast



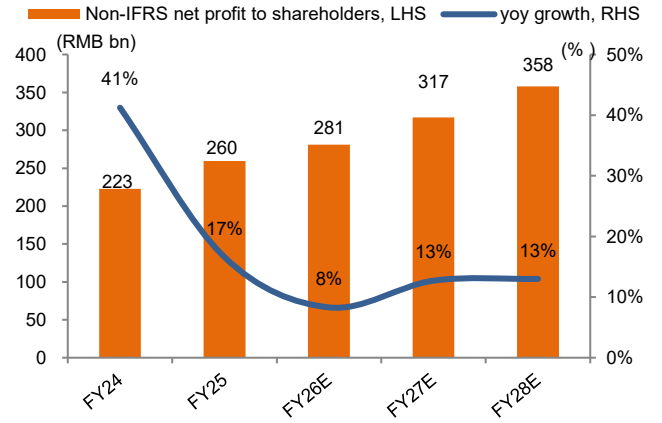
Sources: Company, CMS (HK) estimates

Figure 2: Gross margin by segment



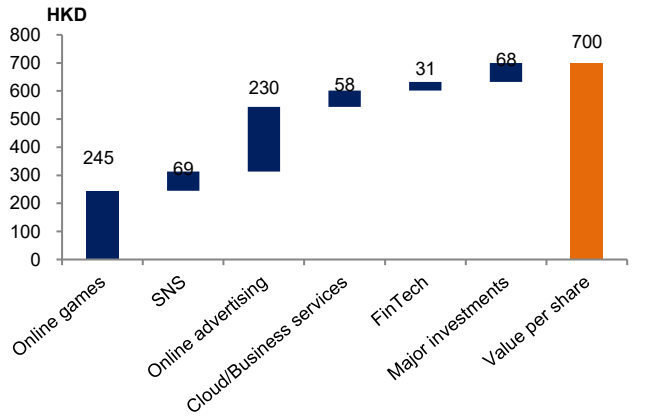
Sources: Company, CMS (HK) estimates

Figure 3: Non-IFRS net profit to shareholders



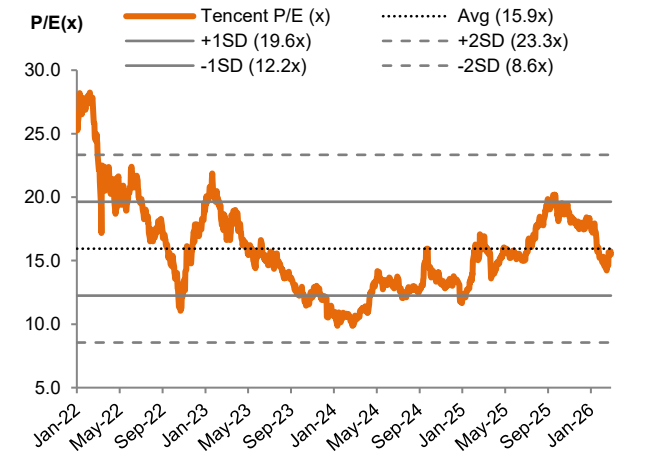
Sources: Company, CMS (HK) estimates

Figure 4: SOTP valuation



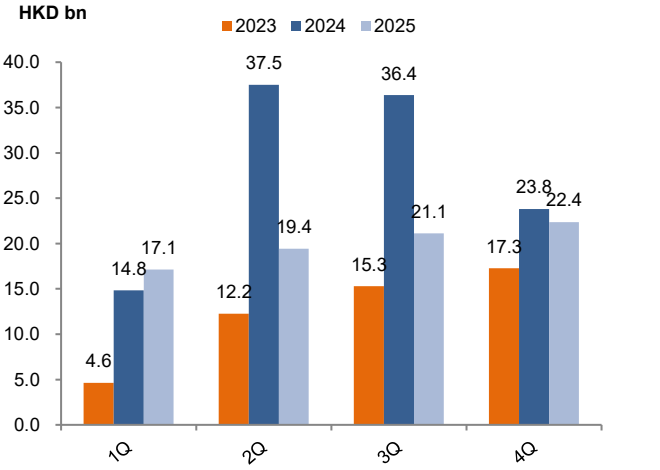
Sources: Company, CMS (HK) estimates

Figure 5: P/E range



Sources: Company, Bloomberg, CMS (HK)

Figure 6: Tencent's quarterly share buybacks



Sources: Company, HKEx, CMS (HK)

Key highlights for Tencent's AI development

WeChat AI Upgrades

- Provided @Yuanbao feature in Video Accounts and Official Accounts comment boxes, to generate summaries of content and encourage users to ask follow-up questions.
- Enriched Tencent News feed in Weixin with Yuanbao-generated content, and facilitated user exploration of relevant topics via direct link to Yuanbao app.
- Building next-gen agentic services in Weixin to connect users with extensive Mini Programs content, social and payment ecosystem

Productivity AI Agents

- Tencent has launched a suite of autonomous AI agent products, including **WorkBuddy** and **Qclaw**, and upgraded related infrastructure such as Tencent Cloud **Lighthouse** and the AI Agent Security Sandbox. This marks a strategic shift in its AI approach from providing conversational tools to building a "digital workforce."
- These autonomous AI agents enable users to conveniently invoke skills from the **SkillHub** and leverage the security infrastructure provided by Tencent Cloud.

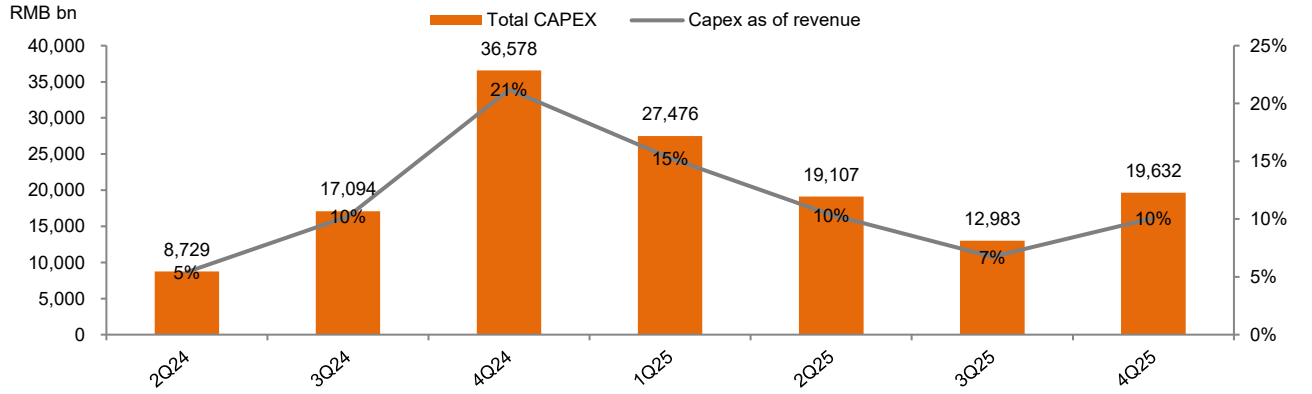
Hunyuan Large Model Series

Multimodal Models:

- **Apr 2025**: Released "fast-thinking" multimodal model **Hunyuan TurboS-Vision**.
- **May 2025**: Launched visual deep-reasoning model **Hunyuan T1-Vision**.
- **Jul 2025**: Introduced **Hunyuan Large-Vision** (多模态理解模型)—a compact model excelling in minor languages and comprehensive tasks.
- **Oct 2025:** Open-sourced its **WorldMirror 1.1** (混元世界模型 1.1), empower users to generate professional 3D scenarios from video/images.
- **Nov 2025:** Launched **HunyuanImage 3.0** (混元图像 3.0) and **Youtu-Video FX** (优图视频特效模型) to help users generate creative image/videos.
- **Dec 2025:** Tencent released the Hunyuan World Model 1.5 (Tencent HY WorldPlay, 混元世界模型 1.5), the industry's first open-source, systematic, and comprehensive real-time world model framework.
- **Jan 2026:** The Hunyuan 3D Studio 1.2 was launched and entered public beta.
- **Feb 2026:** Tencent Hunyuan introduced the HY-1.8B-2Bit, an "extremely small" model for consumer hardware. It has an equivalent parameter count of only 0.3B and uses just 600MB of memory—smaller than many common mobile apps.
- **Mar 2026:** The Tencent Hunyuan 3D team open-sourced WorldCompass, the industry's first reinforcement learning post-training framework designed for world models.

We believe that the increase in AI CAPEX will benefit Tencent by enhancing user experience, strengthening its product moat, and further boosting user stickiness. Tencent has historically focused on ROI, and we see several directions for monetization: 1) Tencent Cloud should directly benefit from the surge in demand for computing power leasing, API calls, and AI-related solutions; 2) For the gaming business, providing more intelligent gaming experiences are expected to increase market share and enhance users' willingness to pay; 3) For the advertising business, improving ad placement matching efficiency should improve Tencent's share in advertisers' spending; 4) Currently, users are gradually developing a willingness to pay for tokens (for example, we have already seen some users willing to pay separately for tokens consumed in the Claw product). We believe that as Agent intelligence and user experience improve, Tencent may also launch subscription services for large models (similar to the monetization path seen in Tencent Meeting).

Figure 7: Tencent's quarterly capex and capex intensity (capex as percentage of group revenue)



Sources: Company, CMS (HK)

Figure 8: Tencent's 4Q25 results vs CMS forecast and consensus

							Actual vs CMS		Actual vs consensus	
RMB bn	4Q24	3Q25	4Q25	3Q25 yoy	4Q25 yoy	4Q25 qoq	4Q25	% diff	4Q25	% diff
Total revenue	**172.4**	**192.9**	**194.4**	**15%**	**13%**	**1%**	**190.7**	**2%**	**194.1**	**0%**
VAS	**79.0**	**95.9**	**89.9**	**16%**	**14%**	**-6%**	**94.3**	**-5%**	**89.0**	**1%**
Online gaming	49.2	63.6	59.3	23%	21%	-7%	61.7	-4%	57.6	3%
Domestic	33.2	42.8	38.2	15%	15%	-11%	42.5	-10%	37.6	2%
International	16.0	20.8	21.1	43%	32%	1%	19.1	10%	20.1	5%
SNS services	29.8	32.3	30.6	4%	3%	-5%	32.6	-6%	31.4	-2%
Online advertising	**35.0**	**36.2**	**41.1**	**21%**	**17%**	**13%**	**36.1**	**14%**	**41.4**	**-1%**
FinTech and Business Services, and Others	**58.4**	**60.8**	**63.3**	**11%**	**8%**	**4%**	**60.3**	**5%**	**63.4**	**0%**
Gross profit	**90.7**	**108.8**	**108.3**	**22%**	**19%**	**0%**	**106.2**	**2%**	**108.1**	**0%**
Interest income	3.9	4.3	4.8	7%	22%	12%	2.8	74%		
Other gains, net	2.5	0.5	1.3	-84%	-48%	172%	2.9	-54%		
S&M expenses	-10.3	-11.5	-13.0	22%	26%	13%	-10.1	28%		
G&A expenses	-31.4	-34.3	-36.3	18%	16%	6%	-33.9	**7%**		
R&D expenses	-18.5	-22.8	-25.1	28%	36%	10%				
Operating profit	**51.5**	**63.6**	**60.3**	**19%**	**17%**	**-5%**	**65.1**	**-7%**	**60.5**	**0%**
Non-IFRS operating profit	**59.5**	**72.6**	**69.5**	**18%**	**17%**	**-4%**	**72.8**	**-5%**	**69.4**	**0%**
Net income to shareholders	**51.3**	**63.1**	**58.3**	**19%**	**14%**	**-8%**	**56.0**	**4%**	**55.0**	**6%**
Non-IFRS net income to shareholders	**55.3**	**70.6**	**64.7**	**18%**	**17%**	**-8%**	**64.3**	**1%**	**64.9**	**0%**
Deferred revenue	**100.1**	**122.0**	**110.3**	**15%**	**10%**	**-10%**				
OCF	**54.0**	**85.3**	**66.5**	**9%**	**23%**	**-22%**				
FCF	**4.5**	**58.5**	**34.0**	**0%**	**656%**	**-42%**				
Net cash (debt)	**76.8**	**102.4**	**107.1**							
CAPEX	**36.6**	**13.0**	**19.6**	**-24%**	**-46%**	**51%**				
Weixin & WeChat MAUs (mn)	1,385	1,414	1,418	2%	2%	0%	1,418	0%		
Fee-based VAS registered subscriptions (mn)	262	265	267	0%	2%	1%	267	0%		
Margin analysis (%)										
Gross margin	52.6	56.4	55.7	3.3ppt	3.1ppt	-0.7ppt	55.7	0.0ppt	55.7	0.0ppt
VAS	55.9	61.2	59.5	3.7ppt	3.7ppt	-1.6ppt	60.0	-0.5ppt		
Online advertising	57.7	56.7	59.7	3.7ppt	2.0ppt	3.0ppt	58.0	1.7ppt		
FinTech and Business Services, and Others	45.0	48.8	47.7	2.1ppt	2.7ppt	-1.1ppt	47.6	0.1ppt		
Non-IFRS operating margin	34.5	37.6	35.8	1.0ppt	1.3ppt	-1.9ppt	38.2	-2.4ppt	35.8	0.0ppt
Non-IFRS net margin	32.1	36.6	33.3	0.8ppt	1.2ppt	-3.3ppt	33.7	-0.4ppt	33.5	-0.2ppt

Sources: Company, Bloomberg, Visible Alpha, CMS (HK) estimates

Figure 9: Tencent's earnings revisions

RMB bn	Revised FY26E	Revised FY27E	Previous FY26E	Previous FY27E	Change* FY26E	Change* FY27E
Revenue	827.8	910.5	826.7	904.2	0.1%	0.7%
VAS	403.4	437.2	401.7	433.1	0.4%	0.9%
Online advertising	170.3	198.2	169.8	197.6	0.3%	0.3%
FinTech and Business Services, and Others	254.1	275.1	255.3	273.5	-0.5%	0.6%
Gross profit	471.3	524.8	470.6	521.1	0.2%	0.7%
Non-IFRS Operating profit	304.7	343.4	319.6	358.7	-4.7%	-4.3%
Non-IFRS net income (to shareholders)	281.2	316.9	299.8	338.1	-6.2%	-6.3%
Margins & key ratios (%)						
Gross margin	56.9	57.6	56.9	57.6	0.0ppt	0.0ppt
Non-IFRS operating margin	36.8	37.7	38.7	39.7	-1.8ppt	-2.0ppt
Non-IFRS net margin	34.0	34.8	36.3	37.4	-2.3ppt	-2.6ppt

Sources: Company, CMS (HK) estimates

Figure 10: Tencent's earnings forecast vs consensus

RMB bn	CMS forecasts FY26E	CMS forecasts FY27E	Consensus FY26E	Consensus FY27E	Difference FY26E	Difference FY27E
Revenue	827.8	910.5	831.6	901.2	-0.5%	1.0%
Core GP	471.3	524.8	471.7	518.1	-0.1%	1.3%
Core OP	304.7	343.4	303.1	335.4	0.5%	2.4%
Core NP after minority	281.2	316.9	280.6	308.6	0.2%	2.7%
Core GPM	57%	58%	57%	57%	0.0ppt	0.0ppt
Core OPM	37%	38%	36%	37%	0.0ppt	0.0ppt
Core NPM	34%	35%	34%	34%	0.0ppt	0.0ppt

Sources: Company, Bloomberg, Visible Alpha, CMS (HK) estimates

Figure 11: Tencent's SOTP valuation

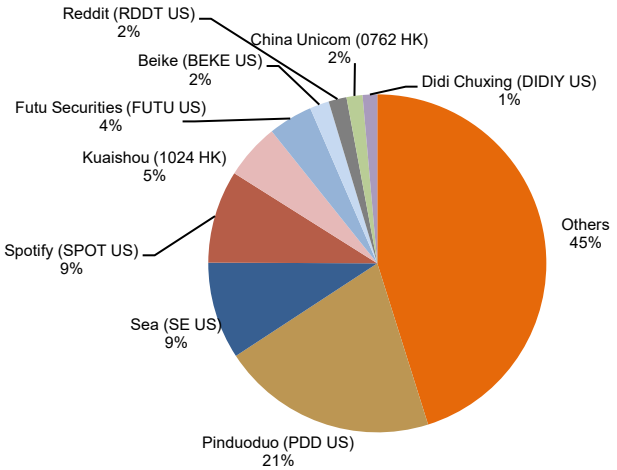
- **Games:** We apply 15x next 12-mo P/E for Tencent's games segment, similar to NetEase's target P/E of 15x, and at a decent premium to peers' avg. at 10x given its competitive advantages: scale, leading position, and strong overseas franchise.
- **SNS:** 15x next 12-mo P/E for SNS segment, higher than peers' average of 12x, given Tencent's more solid brand and product moat leveraging its Weixin ecosystem.
- **Advertising:** We apply 20x next 12-mo P/E, similar to our target P/E for Meta of 21x on market leadership with Tencent Weixin ecosystem leveraging AI-driven, enabling higher growth/monetization potential via Video Account, Search, and mini program.
- **Cloud/Business services:** We apply 5x next 12-mo P/S, in line with Alibaba's target P/S.
- **Fintech:** We apply 5x next 12-mo P/E, given lower growth impacted by macro consumption.

RMB bn	Next 12-mo forecast		Next 12-mo multiple			Seg as % of group valuation			Valuation		
			Bear	Base	Bull	Bear	Base	Bull	Bear	Base	Bull
Core businesses											
Online games	RMB133bn	P/E	10.0	15.0	20.0	36.3%	34.9%	34.3%	1,330	1,995	2,660
Social network	RMB37.5bn	P/E	10.0	15.0	20.0	10.2%	9.8%	9.7%	375	562	750
Online advertising	RMB94bn	P/E	15.0	20.0	25.0	38.4%	32.9%	30.3%	1,409	1,879	2,349
Cloud/Business services	RMB57.4bn	P/S	0.0	5.0	10.0	0.0%	8.2%	12.1%	0	470	940
FinTech	RMB50.2bn	P/E	0.0	5.0	10.0	0.0%	4.4%	6.5%	0	251	502
Subtotal (A)						**84.9%**	**90.3%**	**92.9%**	**3,114**	**5,157**	**7,200**
Total valuation of investees (B)										**573**	
Net cash, add (C)										67	
Minority interest/NCI, minus (D)										87	
Total valuation (RMB bn) (A+B+C-D)									**3,668**	**5,711**	**7,754**
No. of ordinary share (mn)										9,299	
Value per share (RMB)									394	614	834
HKD/CNY										1.14	
Value per share (HKD)									**450**	**700**	**951**

Target value implied multiplie	**Bear**	**Base**	**Bull**
Non-IFRS NP FY26E PE multiple (x)	13.7	21.3	28.9
Non-IFRS NP FY27E PE multiple (x)	12.0	18.7	25.4

Sources: Company, Bloomberg, CMS (HK) estimates

Figure 12: Tencent's key listed investees stake fair value reached RMB673bn in 4Q25



Sources: Company, Bloomberg, CMS (HK)

Figure 13: Tencent's key game pipeline

Games	CN name	Region	Version	Licenses granted date	Launch date	Game type
Domestic						
HoK: world	**王者荣耀世界**	**China**	**Multiple**	**Jan-25**	**4Q25E/2026E**	**RPG**
Roco Kingdom	洛克王国：世界	China	Multiple	Jun-24	2H25E	MMORPG
Just Dance: Party	舞力全开：派对	China	Mobile	Jun-23	2H25E	CAUSAL
Light of Motiram	荒野起源	China	Mobile	Feb-24	2026	SOC
Path of Exile 2	流放之路：降临	China	PC	Apr-25	2026	ACT RPG
Monster Hunter	怪物猎人：旅人	China	Mobile	Dec-24	2026	ACT RPG
Tom Clancy's Rainbow Six Siege Mobile	彩虹六号	China	Mobile	Aug-24	2026	FPS
Crossfire: Rainbow	穿越火线：虹	China	Mobile	Jun-25	2026	FPS
Assassin's Creed Codename Jade	刺客信条：侠隐	China	Mobile	Dec-23	2026	RPG
I Am Nobody	异人之下	China	Mobile	Aug-24	2026	RPG
NBA	热血美职篮	China	Mobile	Jan-24	2026	RTS
Sword Snow Stride	雪中悍刀行	China	Mobile	Mar-25	TBC	RPG
Squad	战术小队：破晓攻势	China	Multiple	Jun-25	TBC	FPS
Star Resonance	星痕共鸣	China	Multiple	Jan-25	TBC	MMORPG
Diezhan Yingxiong	叠战英雄	China	Mobile	Mar-25	TBC	CARD
Mystic Blade Boy	秘境刀仔	China	Mobile	May-25	TBC	RPG
All-star Awakening	全明星觉醒	China	Mobile	Jun-24	TBC	ACT RPG
Wangzhewanxiangqi	王者万象棋	China	Mobile	Feb-23	2H25E	SLG
Already launched						
N-Twelve: Future	逆战：未来	China	Multiple	Dec-23	2H25E	FPS
Valorant Mobile	无畏契约：源能行动	China	Mobile	Jun-24	Aug-25	FPS
The finals	终极角逐	China	PC	Jul-25	3Q25	FPS
Fate Trigger	命运扳机	China	PC	Apr-25	3Q25	THS
FF14: Crystal World	最终幻想 14：水晶世界	China	Mobile	Aug-24	2Q25	MMORPG
Goddess of Victory: NIKKE	胜利女神：新的希望	China	Mobile	Oct-24	2Q25	RPG
Arena Breakout: Infinite	暗区突围：无限	China	Multiple	Jul-24	2Q25	FPS
Squad Busters	爆裂小队	China	Mobile	Oct-24	2Q25	RPG
Blade&Soul 2	剑灵 2	China	Multiple	Dec-23	2Q25	RPG
One Piece: Ambition (Project：Fighter)	航海王：壮志雄心	China	Mobile	Aug-23	4Q24	RPG
Pokémon UNITE	宝可梦大集结	China	Multiple	Dec-22	4Q24	MOBA
Delta Force: Hawk Ops	**三角洲行动**	**China**	**Multiple**	**Jul-23**	**3Q24**	**FPS**
Need for SPEED	极品飞车：集结	China	Mobile	Jan-24	3Q24	RAG
Dungeon & Fighter	**地下城与勇士：起源**	**China**	**Mobile**	**Feb-24**	**2Q24**	**FTG**
Overseas						
Superstar Planet	元梦之星：星际派对	Overseas	Mobile		2025	Casual
Valorant Mobile	无畏契约手游版	Overseas	Mobile		2025	FPS
Tom Clancy's Rainbow Six Siege Mobile	彩虹六号手游	Overseas	Mobile		2025	FPS
The Division Resurgence	全境封锁手游	Overseas	Mobile		2025	RPG
Assassin's Creed Mobile	刺客信条手游	Overseas	Mobile		2026	RPG
I Am Nobody	异人之下海外版	Overseas	Mobile		2026	RPG
Already launched						
Delta Force: Hawk Ops	三角洲行动海外版	Overseas	PC		2Q25	FPS
Arena Breakout: Infinite	暗区突围：无限	Overseas	Multiple		4Q24	RTS
Age of Empires Mobile	重返帝国国际服	Overseas	Mobile		4Q24	RTS

Sources: Company data, Sina.com, CMS (HK) estimates

Valuation comparison

Company	CN name	Bloomberg Ticker	Ccy	CMS Rating	Price	CMS TP	Up/(Dn) side (%)	Mkt cap (USD bn)	EV/EBITDA(X)		P/E(x)		PEG*	P/S (x)	P/OCF (x)	ROE (%)	2025-2027E CAGR		
									FY26E	FY27E	FY26E	FY27E	FY26E	FY26E	FY26E	FY26E	SALES	NP	EBITDA
Tencent	腾讯	700 HK	HKD	BUY	550.0	700.0	27.3	639.1	12.2	10.6	15.7	13.9	1.5	5.3	13.2	21.5	10.1	10.5	17.4
Alibaba	阿里巴巴	BABA US	USD	BUY	136.6	204.0	49.4	326.0	12.4	11.0	23.5	16.5	n.a.	2.2	16.4	9.3	8.3	n.a.	13.1
Pinduoduo	拼多多	PDD US	USD	BUY	104.4	149.0	42.8	148.2	39.5	8.2	7.7	6.1	0.3	2.0	7.7	27.8	13.5	22.5	n.a.
Netease	网易	NTES US	USD	BUY	118.9	161.0	35.4	75.3	12.0	10.8	12.0	10.8	1.2	4.3	11.2	24.0	8.8	9.8	10.2
Meituan	美团	3690 HK	HKD	BUY	80.0	139.0	73.8	63.0	11.0	8.0	46.6	12.4	n.a.	1.0	15.7	6.3	13.1	n.a.	32.8
Kuaishou	快手	1024 HK	HKD	BUY	59.9	100.0	67.1	33.2	6.0	5.3	9.9	8.6	0.7	1.5	6.3	22.3	8.1	13.3	12.5
JD.com	京东	JD US	USD	BUY	28.5	39.0	36.7	41.5	9.1	6.1	9.3	6.7	0.4	0.2	6.7	11.6	5.3	25.3	89.8
Tencent Music	腾讯音乐	TME US	USD	BUY	11.4	13.6	19.6	17.6	7.5	6.6	11.9	10.8	1.4	3.4	10.0	10.5	10.2	8.3	26.8
Bilibili	哔哩哔哩	BILI US	USD	BUY	26.8	30.0	12.1	11.3	15.7	12.3	25.2	18.7	0.9	2.3	20.6	11.8	9.4	27.0	n.a.
Kanzhun	看准科技	BZ US	USD	BUY	14.6	19.0	30.6	7.0	15.7	11.3	12.3	10.7	1.0	5.2	9.9	21.7	11.8	12.0	0.1
Vipshop	唯品会	VIPS US	USD	BUY	15.9	21.2	33.3	8.9	5.0	4.4	6.8	6.7	2.4	0.6	4.2	7.4	2.1	2.9	17.8
Cloud Music	云音乐	9899 HK	HKD	BUY	148.6	232.0	56.1	4.1	8.7	7.5	12.7	11.5	1.3	3.3	13.0	15.9	9.9	9.5	15.2
Newborn Town	赤子城	9911 HK	HKD	BUY	9.9	16.2	63.6	1.8	7.4	6.0	8.0	6.7	0.4	1.5	9.2	36.9	20.0	21.9	25.1
Baidu	百度	BIDU US	USD	NR	120.7	n.a.	n.a.	42.3	7.3	6.4	15.1	13.2	0.2	2.2	10.8	5.9	4.9	99.1	n.a.
Trip.com	携程	TCOM US	USD	NR	52.4	n.a.	n.a.	36.1	9.9	8.6	12.8	11.3	n.a.	3.5	11.6	9.8	13.1	n.a.	n.a.
DIDI	滴滴	DIDIY US	USD	NR	4.2	n.a.	n.a.	19.6	39.5	8.2	n.a.	19.6	n.a.	0.5	23.3	0.1	9.9	n.a.	n.a.
China Literature	阅文	772 HK	HKD	NR	30.3	n.a.	n.a.	4.0	16.4	14.5	18.8	16.5	n.a.	3.4	29.9	7.2	6.9	n.a.	n.a.
Meitu	美图	1357 HK	HKD	NR	5.3	n.a.	n.a.	3.1	14.4	10.6	16.7	12.8	0.5	4.3	11.3	17.5	23.4	32.2	38.8
China average									**12.0**	**7.9**	**14.1**	**10.8**	**1.0**	**2.3**	**11.3**	**13.5**	**8.9**	**19.6**	**23.1**
Alphabet	谷歌	GOOGL US	USD	BUY	310.9	390.0	25.4	3,752.4	17.1	14.2	25.7	22.3	2.5	9.2	21.8	37.9	6.1	n.a.	n.a.
Microsoft	微软	MSFT US	USD	BUY	399.4	650.0	62.7	2,965.9	15.1	13.0	23.5	21.0	1.5	9.0	20.8	32.3	13.4	n.a.	n.a.
Amazon	亚马逊	AMZN US	USD	BUY	215.2	283.0	31.5	2,310.2	11.3	9.2	22.1	18.6	0.9	2.9	15.9	18.6	9.8	n.a.	n.a.
Meta	Meta	META US	USD	BUY	622.7	870.0	39.7	1,575.6	12.9	10.3	18.6	15.7	0.7	6.3	13.0	29.8	19.0	n.a.	n.a.
Netflix	奈飞	NFLX US	USD	BUY	94.4	126.0	33.5	398.4	24.0	20.1	29.3	24.4	1.5	7.8	37.6	42.9	9.9	n.a.	n.a.
Uber	优步	UBER US	USD	BUY	77.8	113.0	45.3	160.1	15.4	12.6	23.1	17.9	n.a.	2.7	15.2	23.6	11.0	n.a.	n.a.
Spotify	Spotify	SPOT US	USD	BUY	525.2	703.0	33.8	108.1	27.3	21.6	33.9	27.5	1.5	4.8	31.0	27.5	12.1	n.a.	n.a.
Doordash	Doordash	DASH US	USD	BUY	169.8	301.0	77.3	73.8	19.5	14.8	34.1	23.0	0.4	4.1	29.1	12.2	22.3	n.a.	n.a.
Lyft	Lyft	LYFT US	USD	BUY	14.0	30.0	113.7	5.7	7.5	6.0	9.7	7.4	n.a.	0.8	4.7	11.7	11.6	n.a.	n.a.
Global average									**16.9**	**22.9**	**24.4**	**19.8**	**0.7**	**6.1**	**21.0**	**26.3**	**12.9**	**n.a.**	**173.8**

Note: Closing prices as of Mar 17, 2026; For future estimates of NR Co.s, Bloomberg consensus used; Sources: Bloomberg, Company, CMS (HK) estimates

Financial Summary

Profit & Loss

RMB bn	FY24	FY25	FY26E	FY27E	FY28E
Revenues	660	752	828	911	1,002
Cost of revenues	-311	-329	-357	-386	-417
Gross profit	**349**	**423**	**471**	**525**	**585**
Interest income	16	17	13	16	21
Other gains, net	8	-3	12	14	15
Selling and marketing	-36	-42	-47	-50	-54
G&A	-113	-136	-168	-181	-198
Operating profit	**208**	**242**	**269**	**307**	**347**
Finance costs, net	-12	-15	-15	-17	-19
Share of losses of associates and JV	25	24	27	29	32
Profit before income tax	241	277	305	347	393
Income tax expense	-45	-47	-61	-69	-77
Minority interests	2	5	5	6	6
Net profit	**194**	**225**	**239**	**273**	**309**
Non-IFRS operating profit	**238**	**281**	**305**	**343**	**387**
Non-IFRS net profit	**223**	**260**	**281**	**317**	**358**

Financial Ratios

	FY24	FY25	FY26E	FY27E	FY28E
yoy growth					
Revenues	8%	14%	10%	10%	10%
Operating profit	30%	16%	11%	14%	13%
Non-IFRS net profit	41%	17%	8%	13%	13%
Profitability					
ROE	24%	24%	21%	20%	20%
Gross margin	53%	56%	57%	58%	58%
Non-IFRS operating margin	36%	37%	37%	38%	39%
Non-IFRS net margin	34%	35%	34%	35%	36%
Per share (RMB)					
Diluted EPS	20.5	24.2	25.9	29.8	34.0
Non-IFRS basic EPS	23.9	28.4	31.4	36.1	41.7
Non-IFRS diluted EPS	23.7	27.9	30.4	34.6	39.4
Non-IFRS diluted EPS (HKD)	26.0	30.2	32.9	37.4	42.6
BVPS	105.0	127.0	152.6	184.3	221.0
DPS	4.5	5.3	5.3	6.2	7.1
Valuation					
EV/EBITDA (x)	17.9	13.9	12.5	10.7	9.2
P/E (x)	19.8	17.0	15.7	13.9	12.3
P/B (x)	4.8	4.0	3.3	2.8	2.3
Dividend yield (%)	0.82	0.96	1.04	1.22	1.41

Balance Sheet

RMB bn	FY24	FY25	FY26E	FY27E	FY28E
PPE	80	150	193	225	246
Intangible Assets	196	206	223	235	240
Cash and Cash Equivalents	133	141	219	368	560
Term Deposits	271	307	322	339	356
Investment in Associates & JV	297	349	374	401	431
Available-for-sale Investments					
Financial assets at fair value	520	609	669	736	810
Others	284	278	289	306	325
Total Assets	**1,781**	**2,039**	**2,290**	**2,610**	**2,968**
Accounts Payable	119	121	107	116	125
Other Payables and Accrued Liabilities	84	96	96	96	96
Bank Borrowings	199	251	288	326	367
Notes Payable	139	137	137	137	137
Others	186	193	194	210	226
Total Liabilities	**727**	**798**	**822**	**885**	**952**
Share Capital					
Share Premium	43	64	91	118	148
Treasury shares	-4	-3			
Shares Held for Share Award Scheme	-5	-7	-7	-7	-7
Other Reserves	47	90	90	90	90
Retained Earnings	892	1,010	1,201	1,426	1,681
Total Shareholders' Equity	**974**	**1,154**	**1,375**	**1,628**	**1,913**
Non-controlling interests	80	87	92	97	104
Total Equity	**1,054**	**1,241**	**1,467**	**1,725**	**2,016**

Cashflow

RMB bn	FY24	FY25	FY26E	FY27E	FY28E
CF from operating activities	**259**	**303**	**325**	**418**	**487**
Net profit	196	230	244	278	316
D&A	50	77	104	134	166
Share-based Compensation	21	26	27	27	30
Impairment Provision for associates	8	3	3	3	4
Working Capital chg	25	9	-28	3	2
Others	-42	-42	-26	-28	-30
CF from investing activities	**-122**	**-206**	**-239**	**-259**	**-281**
CAPEX & purchase of intangible assets	-76	-158	-174	-191	-210
Net addition in term deposits	-55	-37	-15	-16	-17
Other investments	9	-11	-50	-52	-54
CF from financing activities	**-176**	**-87**	**-8**	**-9**	**-14**
Borrowings	-14	38	37	39	41
Dividends	-32	-42	-48	-48	-55
Others	-130	-83	3	0	0
Net cash flow	**-40**	**9**	**78**	**149**	**192**

Note: Closing price as of Mar 17, 2026
Sources: Bloomberg, Company, CMS (HK) estimates

Investment Ratings

Industry Rating	Definition
OVERWEIGHT	Expect sector to outperform the market over the next 12 months
NEUTRAL	Expect sector to perform in-line with the market over the next 12 months
UNDERWEIGHT	Expect sector to underperform the market over the next 12 months

Company Rating	Definition
BUY	Expect stock to generate 10%+ return over the next 12 months
HOLD	Expect stock to generate +10% to -10% over the next 12 months
SELL	Expect stock to generate loss of 10%+ over the next 12 months

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